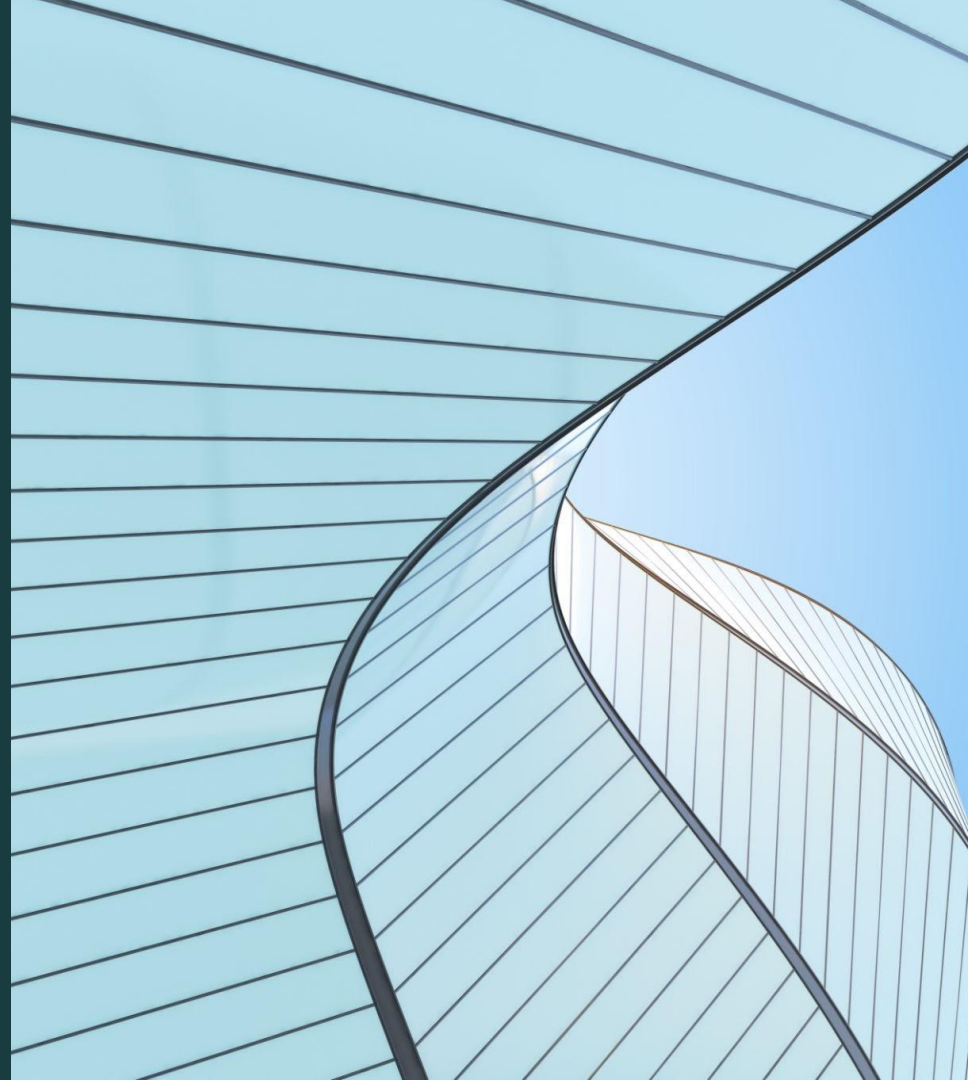


Team Andrews

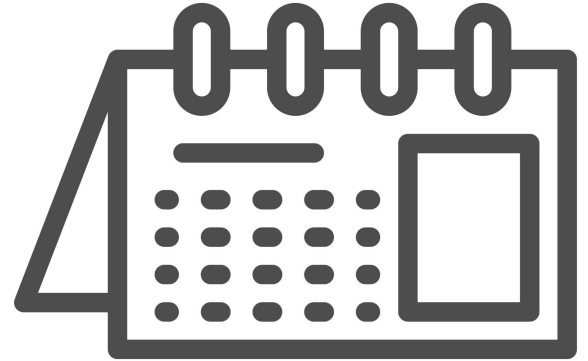
Final Presentation

April 23rd, 2026



AGENDA

- Our Team
- Statements
- Strategy
- Product Line
- Marketing & Forecasting
- NPV of Capacity Investments / I.R.R Analysis
- What Went Well and Bad
- Our Stock v. Competitors
- Purchase of Jasper Stock
- Key Takeaways



Our Team



Tegan Dring
CEO/Marketing



Sukhpreet Kaur
Marketing



Mason Avon
Production



Tyler Rossi
R&D



Lukas Cohen
Finance/HR



David Cooper
Finance/TQM

STATEMENTS

Vision : To provide excellent products and customer service to customers in every market

Mission: To deliver the best possible user experience through innovative sensor hardware at price points accessible to every market

Strategy: Broad Differentiation

BROAD DIFFERENTIATION STRATEGY

WHAT IS BROAD DIFFERENTIATION?



Serve a wide range of customer needs, rather than focusing on a single niche.



High on key buying criteria: Price, Age, MTBF, and Positioning

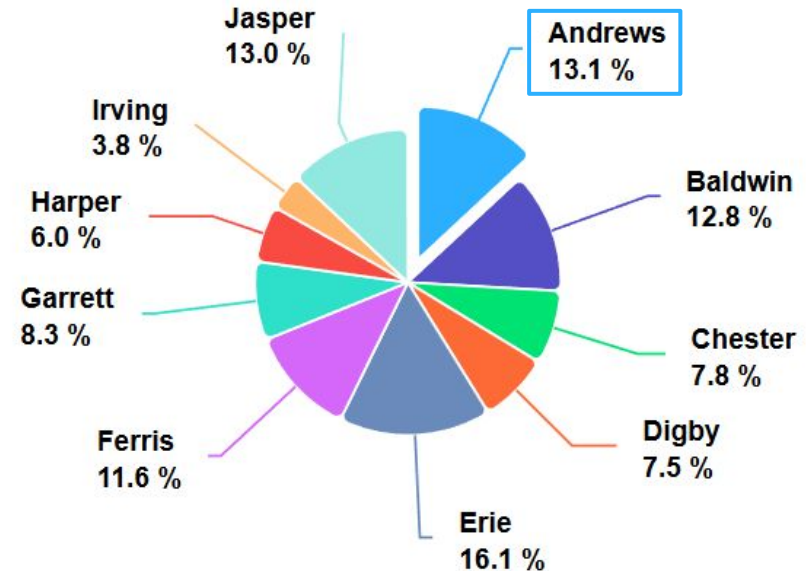


Continuously improve products and build awareness to stay competitive in all segments.



Higher investment and costs are accepted to achieve stronger demand and market presence across the board.

OUR MARKET SHARE



PRODUCT LINE

Product	Category	Catalogue
Able	Traditional	  
Acre	Low End	  
Adam	High End	  
Aft	Performance	  
Agape	Size	  

Marketing & Forecasting

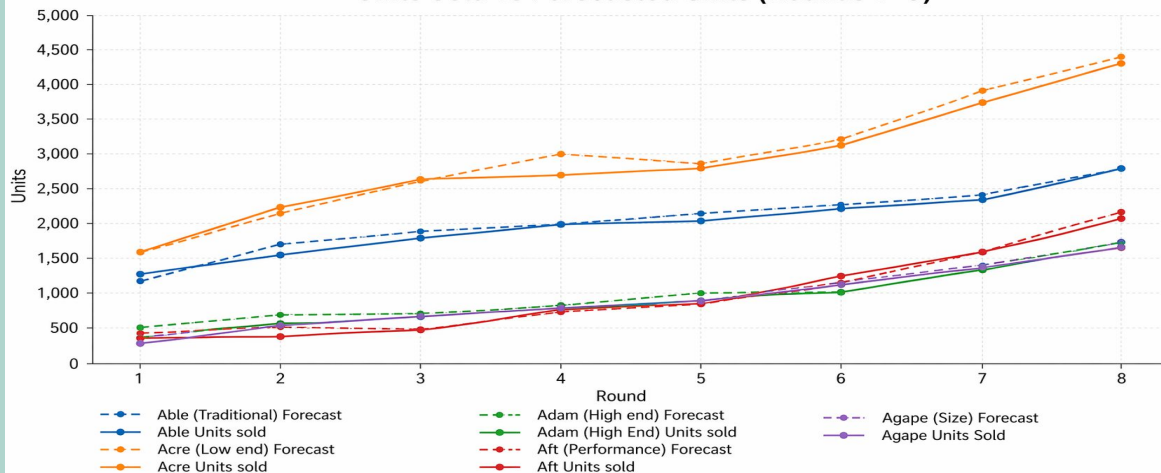
To Forecast Demand, We Analyzed:

- Market demand
- Segment growth rates
- Relative competitive positioning
- Customer Satisfaction Score
- Historical sales trends

Forecasting Highlights

Round 3: Forecasted Units 6,420 | Actual 6,451 (+31)
Round 6: Forecasted Units 8,820 | Actual 8,886 (+66)
Round 8: Forecasted Units 12,800 | Actual 12,733 (-67)

Units Sold vs Forecasted Units (Rounds 1–8)



Key Results:

- Remaining active in all 5 segments allowed us to capture market share and competitors exited certain segments
- Maintained profitability across all 5 segments by balancing growth, pricing and demand forecasts

NPV of Capacity Investments (Annuitized)

To avoid overinvestment in the early rounds, we expanded capacity only when sustained segment demand justified long-term returns.

Example: Performance segment (Aft)

- Starting capacity: 600
- Second shift began in Round 4
- Capacity increased to 1,400 by Round 8
- Expansion followed sustained demand growth

Results:

- Met rising customer demand
- Maximised second shift production before expanding capacity
- Avoided premature capital spending
- Improved future profitability through more efficient operations

Annuitized NPV of Investments approach:

- Compared the annualized cost of new capacity investments to projected future cash flows from increased demand
- Only expanded when expected returns exceeded investment costs

Round	Capacity	Units Produced	Utilization %	Second Shift Used?
Round 0	600	358	59.70%	No
Round 1	600	450	75.00%	No
Round 2	600	550	91.70%	No
Round 3	600	550	91.70%	No
Round 4	600	780	130.00%	Yes
Round 5	900	890	98.90%	No
Round 6	1,200	1,200	100.00%	No
Round 7	1,200	1,590	132.50%	Yes
Round 8	1,400	2,250	187.50%	Yes

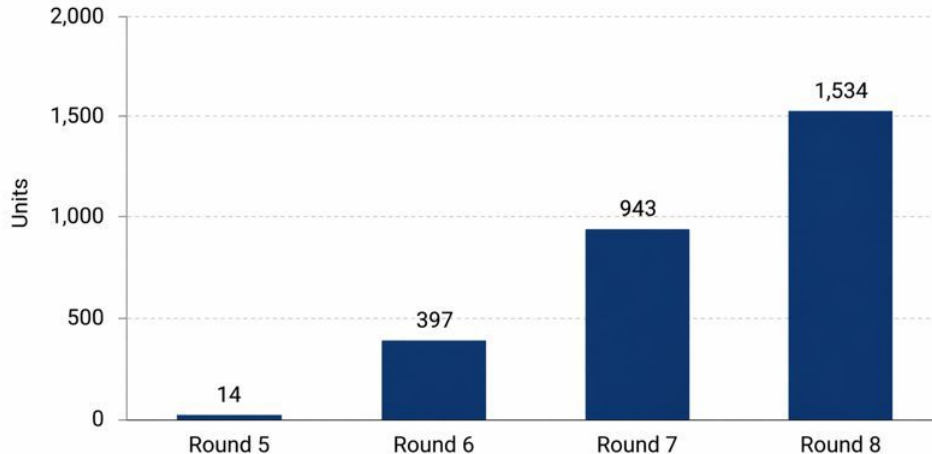
Low End - Capacity Investment Analysis

- Capacity increased from **1,400 to 2,700**
- Estimated cost: **\$42,900,000**
- Revenue generated from excess capacity (Rounds 5-8): **\$57,767,000**
- Revenue/Investment: **135%** 

IRR
≈ 10%

*Positive Return Generated
from Capacity Investment*

Extra Units Sold From Capacity
(Units)



Key Takeaways

- Capacity investment already generated more revenue than its cost
- Enabled continued growth and future profitability
- Sold unnecessary capacity in the early rounds to invest in the business
- Bought back capacity incrementally as needed

Automation I.R.R. Analysis

Investment Overview

- Total automation investment was **\$122,780,000**
- Direct labor cost was reduced by **13.7%**
- Gradual increase to **7.8%** by round 6, then jump to **13.7%** round 8

Cash Flow Summary

- Total estimated labor cost savings was **\$106,240,000**
- Unrecovered investment was **\$16,540,000**

IRR Result

- IRR = **-3.5%**
- Initial investment was not fully recovered
- Expected to turn positive within 1 round

Key Points



- Significantly improved cost structure (28.6% to 14.9%)
- Earlier implementation would have increased total returns
- Savings accelerated in later rounds

ROUND	SALES (\$)	LABOR COST (% OF SALES)	REDUCTION VS 28.6% BASELINE (percentage points)	SAVINGS (\$)	SAVINGS VISUAL (\$)
1	\$116,691	28.6%	0.0%	\$0	\$0
2	\$146,849	28.8%	-0.2%	\$0	\$0
3	\$172,074	27.0%	1.6%	\$2,753	\$2,753
4	\$196,895	24.9%	3.7%	\$7,285	\$7,285
5	\$208,504	22.6%	6.0%	\$12,510	\$12,510
6	\$239,722	22.4%	6.2%	\$14,863	\$14,863
7	\$282,162	20.8%	7.8%	\$22,009	\$22,009
8	\$341,751	14.9%	13.7%	\$46,820	\$46,820



What Went Well



Clear strategic focus on customer satisfaction, R&D quality, and forecasting accuracy



Successfully corrected under-leverage and ended in the optimal range (> 1.8)



Proper allocation of resources into TQM, HR, and automation, improving long-term efficiency and production costs



Bought back shares and paid dividends



Applied lessons from practice rounds by consistently double-checking decisions



OVERVIEW OF OUR POSITIVE PERFORMANCE

We achieved strong results by balancing profitability, efficiency, and leverage. Focusing on efficiency, along with TQM, HR, and automation, drove consistent growth.



\$55.7M
Profit



40.8%
ROE

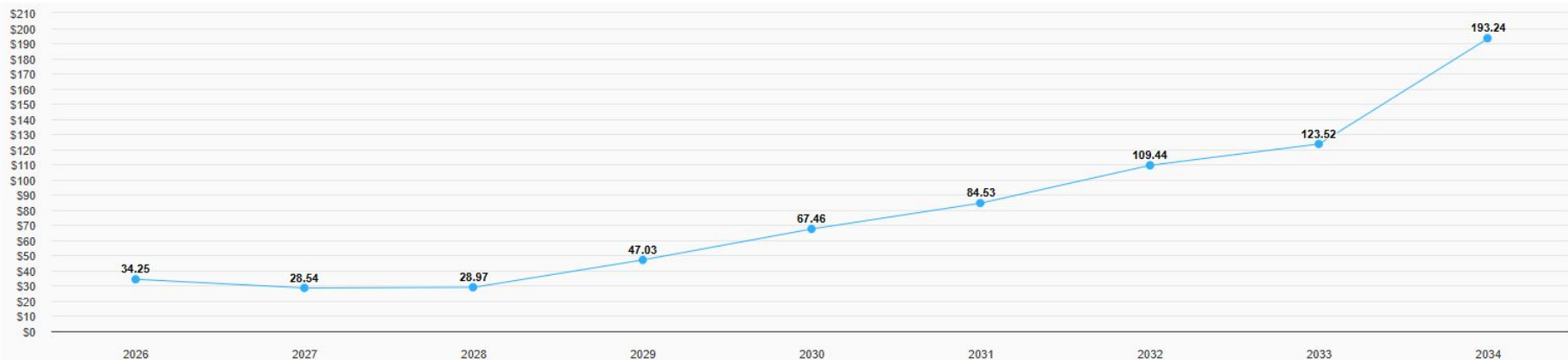


\$193.24
Stock Price



1.84
Leverage

Stock Price





Round 8 - Our Best Round

HIGHLIGHTS



Strong Financial Position

- ✓ Corrected under-leverage to reach optimal range
- ✓ Achieved high profitability despite higher interest costs



Well-Rounded Performance

- ✓ All scorecard categories balanced in final round
- ✓ Maintained stable closing cash position



High Returns and Stock Price

- ✓ Continued stock growth despite prior constraints
- ✓ Strong operational consistency in final round

KEY RESULTS



Profit

\$55.725M



Sales

\$341.751M



EBIT

\$99.860M



Contribution Margin

49.47%



SG&A to Sales Ratio

5.92%



Closing Cash

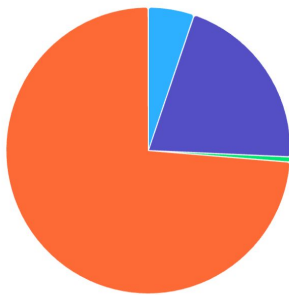
\$13.138M



Emergency Loan

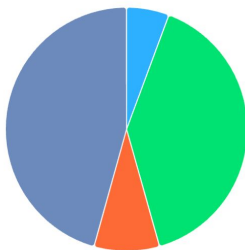
\$0

ASSETS



Cash Accounts Receivable Inventory Total Fixed Assets

LIABILITIES & OWNER'S EQUITY



Accounts Payable Current Debt Long-Term Debt
Common Stock Retained Earnings



Round 8 reflects our strongest overall performance, with the high profitability, balanced operations, and a solid financial position.

BALANCED SCORECARD

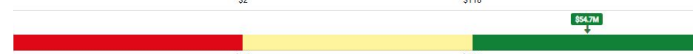
Leverage



Stock



Profit





What Went Bad



Inconsistent Focus On Balanced Scorecard



Sold Capacity Early On



Under-Forecasting → Stock Outs



Delayed Demand Growth Efforts



Round 7 - Our Worst Round

Problem

Under-leveraged at 1.3
Target: 1.8

Solution

Issued \$66.9M bond to reach
the leverage of 1.79

Impact

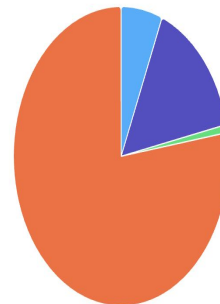
Interest Expense: \$2.5M → \$8.8M

Sales: \$239M → \$282M

ROS: 11.2% → 8.7%

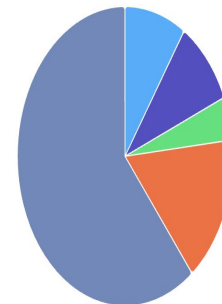
Projected Stock Price: ↓ \$40/Share

ASSETS



Cash Accounts Receivable
Inventory Total Fixed Assets

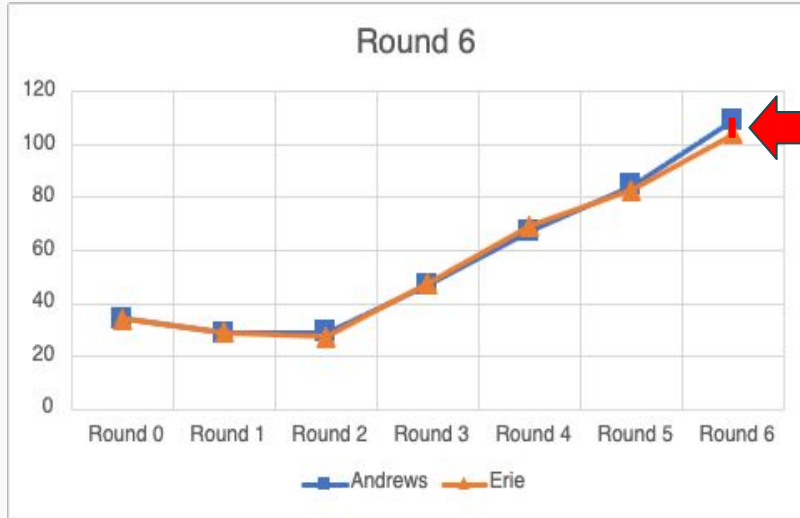
LIABILITIES & OWNER'S EQUITY



Accounts Payable Current Debt Long-Term Debt
Common Stock Retained Earnings

Our Stock v. Competitors

Andrews V. Erie Stock Price Per Round



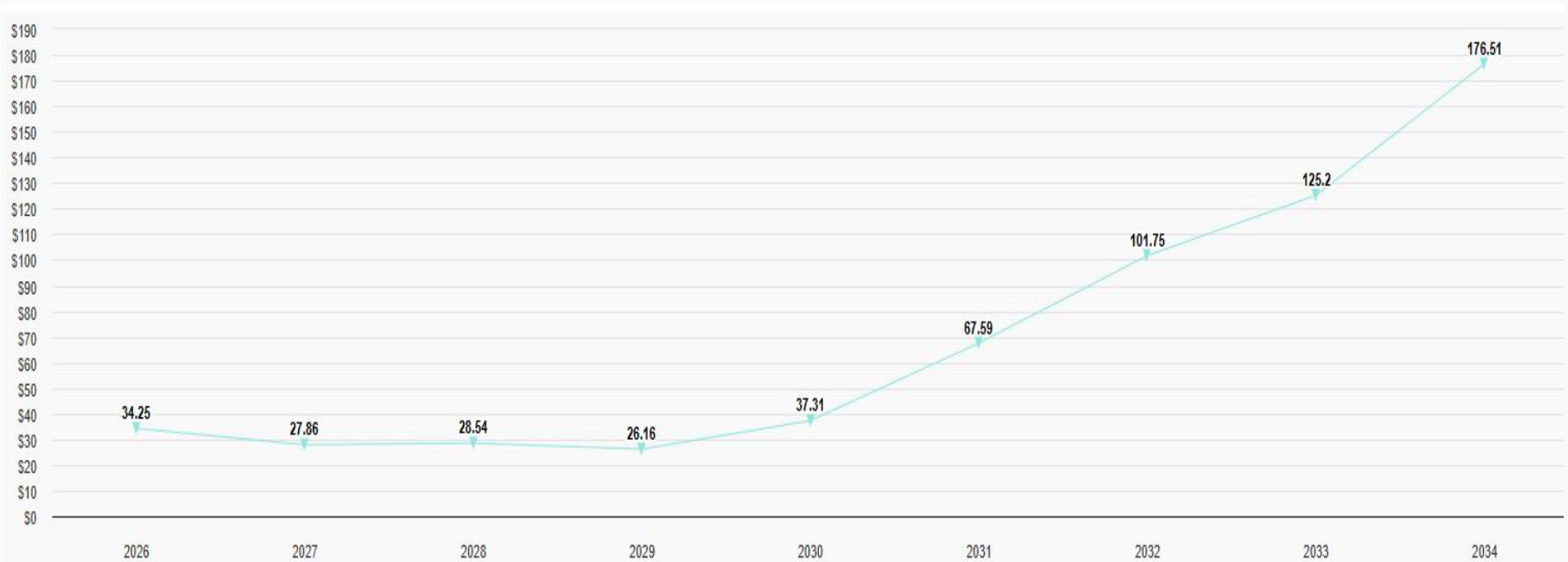
Round 6 Stock Price Difference: \$5.36 (Our Favor)

Round 7 Stock Price Difference: -\$33.74 (Not In Our Favor)

- Greater stock price than competitors Erie, who utilized leverage
- The bond caused us to lose our lead in stock price on Erie

Buying Jasper Stock - Did it pay off?

In round 6 we purchased 14,795 shares of Jasper at 67.59/share. In round 8 each share was worth 176.51



$14,795 * 67.59 \approx \$1\text{M}$
 $14,759 * 175.51 \approx \2.6M
 $\approx \$1.61\text{M Gain}$
161% increase

Key Takeaways



Strong Competitive Positioning

Finished with the second highest market share (13.1%) in the industry



Top Operating Performance

Generated the highest EBIT 99.86 million; reflecting strong earnings



Exceptional Shareholder Returns

Achieved the highest ROE: 40.8% showing strong profitability and efficient capital use



Successful Broad Differentiation Strategy

Balanced innovation, product quality, and market coverage to drive sustained growth



Industry Leading Profitability

Recorded the highest contribution margin (49.97%) through cost control & pricing discipline



Final Lesson Learned

Accurate forecasting, strategic capacity expansion, and disciplined finance decisions were key to long term success

REFERENCES

Capstone User Guide

Textbook

Capstone Courier & Annual Reports

Capsim AI

THANK YOU!